



“India’s IT services sector has rapidly progressed. The nation is on the cusp of the agentic AI era, where intelligent systems can reason, act, and adapt autonomously”

AMIT CHADHA
MD & CEO, L&T
Technology Services



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SUSHOVON NAYAK
Research Analyst,
Anand Rath
Institutional Equities

that it will lay off around 2% of its workforce, or roughly 12,000 employees, has sent shivers across the sector.

Sushovon Nayak, Research Analyst at Anand Rath Institutional Equities, tells *BT* Indian IT has historically adapted well to technological disruptions, such as the shift to Cloud computing, and is well-placed to become an implementation partner for AI-driven enterprises. “While some predict doom for Indian IT due to AI, it will likely improve productivity by allowing companies to do the same work with fewer people,” he says.

Other analysts say it is better to be cautious. Sumit Pokharna, VP-Fundamental Research at Kotak Securities, says none of the companies have secured any large, standalone orders purely on the basis of AI. “At present, AI is more of a supplemental service, used mainly to optimise efficiency within core activities,” he says. IT companies will need to ramp up AI penetration or develop products that can be offered as services to global clients, he adds.

Margins are under strain. In Q1, Infosys’ operating margin stood at 20.8%, down 20 basis points sequentially. HCLTech saw a sharper drop of 1.6%, while Wipro slipped 0.2%. Nayak points to changing client expectations. “With AI, work can be delivered more cost-effectively. The mantra these days is ‘more for less’.”

Industry watchers call it a “cyclical change,” arguing that the sector has the resilience to emerge stronger. Indian IT’s success

story has long been rooted in its services-driven model, but as global competition intensifies, the shift towards building proprietary products may be inevitable. Though the sector has not seen a direct impact of US President Donald Trump’s tariff policies yet, experts say it is better to remain prudent.

The next big leap will be artificial general intelligence (AGI). Amit Chadha, MD & CEO of L&T Technology Services, sees a clear trajectory: “Moving from versatile AI, which handles multiple tasks across domains, to AGI will mean AI executing a far broader range of functions and independently determining outcomes with unprecedented flexibility.”

The sector’s history offers reasons for optimism. Time and again, Indian IT has adapted to shifts. From the Y2K opportunity to the Cloud computing revolution, it has emerged stronger each time. The AI transition, however, may require a deeper rethink of business models, pricing structures, and talent strategies than previous shifts. **BT**

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